

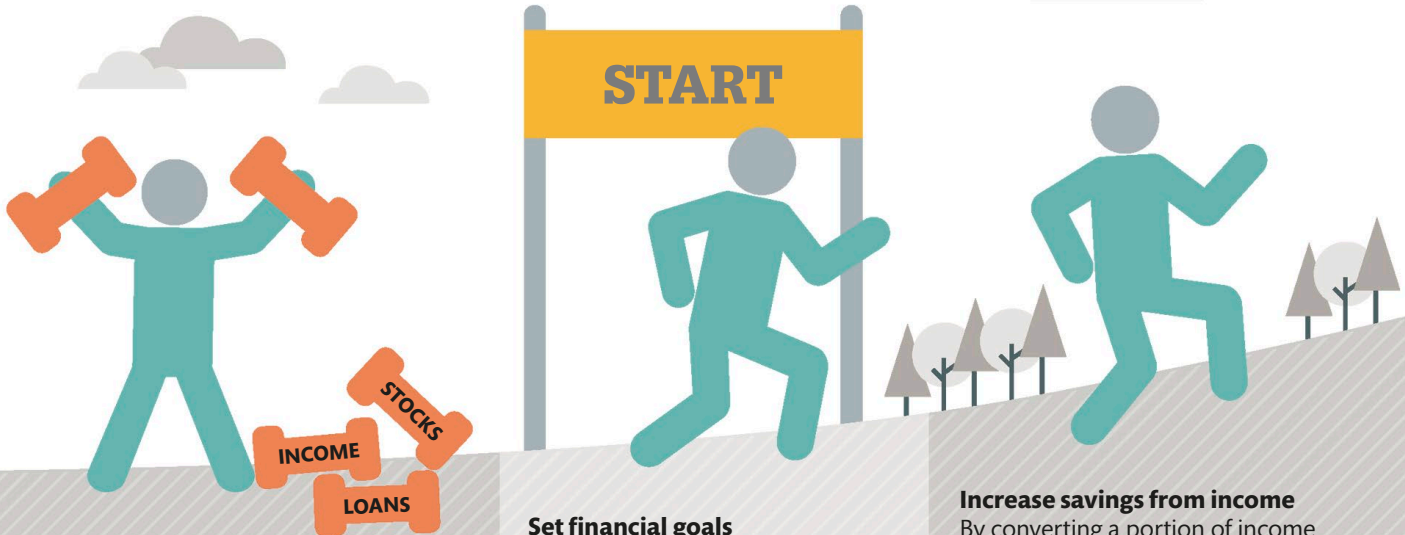


Worth, wealth, and income

Wealth is a measure of the value of the assets owned by an individual, group, or country. An individual's net worth is the value of any assets owned, minus any debt owed or personal liabilities. Income is earned through working and can also be gained from assets owned. Being aware of their net position can make it much easier for individuals to set financial goals, establish effective investment strategies, and achieve financial independence on or before retirement.

Planning for financial independence

To gain financial independence a person must have sufficient money to be able to pay their living expenses without work, for example after retirement. This can be achieved by saving and investing well to accumulate sufficient wealth to live on, or by generating a passive income that will continue paying out during retirement.



Assess situation

Investors calculate the value of assets such as cash, stocks, bonds, property, and retirement funds. Then subtract liabilities – loans, credit card debts, and mortgage. See pp.152–153

Set financial goals

Savers have to set a realistic age at which to retire. To do this they assess how much income they will need to maintain a good standard of living in retirement.

Increase savings from income

By converting a portion of income into savings, and ensuring their investments perform efficiently, savers stand a better chance of reaching their financial goals. See pp.154–155